



£1.496
trillion the debt
owed by people in the UK

CREDIT RATING

A credit rating is an estimate by a lender of the ability of a person or organization to fulfil financial commitments, based on their credit history. It can be used to help lenders decide whom to lend money to, how much to lend, and in some cases how much interest to charge.

High levels of existing debt, missed or late payments on a loan or credit card, and a history of multiple applications for credit can all negatively affect an individual's credit rating.

Individuals can check their credit report via a number of different websites, and if necessary, take steps to improve their credit rating.



Big Bank

CREDIT	DEBIT
	£1,200
	£300
	£200
£4,000	
	£2,000
	£40.00
£4,000	£3,740
£260	

Mortgages

A mortgage is a longer-term loan used to purchase a property, which is secured against it. The lender can repossess the property if the mortgage is not repaid as agreed. *See pp.212–215*

➤ **Mortgage payments** These consist of the capital repayments – against the amount borrowed – plus the interest charged.

➤ **Loan-to-value (LTV)** This is the mortgage value as a percentage of the property's purchase price.



Credit unions

Credit unions are not-for-profit community organizations that provide savings, credit, and other financial services to their members. Borrowers need to be members of a credit union to be able to borrow money from it. *See pp.216–217*

➤ **Size and assets** Credit unions vary.

➤ **Ownership** Credit unions have no shareholders, only members.

